

20 Executive Business Recommendations & Strategic Roadmap

Coverage: Working Capital, Cost Optimization, AP/AR, Cash Flow, FP&A, Automation, & AI Target Audience: CFO, Controllers, & SAP Steering Committee

1. Working Capital & Customer Collections

Working Capital Optimization Pillar 1

- 1. **Dynamic Inventory Buffer:** Tie inventory levels directly to real-time sales velocity (‘ACDOCA’) to release locked working capital.
- 2. **Supply Chain Financing:** Implement vendor financing programs to extend DPO while preserving supplier solvency.
- 3. **Order-to-Cash Acceleration:** Streamline order release blocks to reduce cycle times from shipment to invoice generation.

Customer Collections (AR) Pillar 2

- 1. **Risk-Based Segmentation:** Prioritize collection queues using predictive risk scores on open customer items (‘BSID’).
- 2. **Automated Dunning Workflows:** Configure multi-channel automated reminders triggered at T-7, Day 1, and Day 15 past due.
- 3. **Dispute Management Integration:** Link invoice disputes immediately to root-cause owners to reduce deduction write-offs.

2. Vendor Payments & Cost Optimization

Vendor Payments (AP) Pillar 3

- 1. **Dynamic Discount Capture:** Maximize early payment discounts by aligning cash disbursement runs (‘BSIK’) with liquidity peaks.
- 2. **Duplicate Payment Audits:** Deploy automated machine learning checks to block duplicate vendor invoice entries prior to posting.
- 3. **Vendor Portal Self-Service:** Enable supplier portals for invoice status tracking to cut down vendor query resolution time by 50%.

Cost Optimization Pillar 4

- 1. **Cost Center Zero-Base Review:** Audit indirect overhead spend across high-variance Cost Centers (‘KOSTL’) semi-annually.
- 2. **Shared Services Consolidation:** Centralize transactional accounting tasks into regional shared service hubs.
- 3. **Procurement Leakage Control:** Enforce strict purchase order compliance to eliminate unauthorized tail spend.

3. Cash Flow, Financial Planning & Automation

Cash Flow & FP&A Pillar 5 & 6

- 1. **Real-Time Liquidity Views:** Replace batch bank reporting with real-time cash position integration across global banks (‘BSIS’/‘BSAS’).
- 2. **Rolling Forecast Adoption:** Shift from annual static budgeting to rolling 4-quarter forecasts in SAP SAC.
- 3. **Profit Center Accountability:** Tie executive bonuses directly to divisional Net Contribution Margin per Profit Center (‘PRCTR’).

Process Automation Pillar 7

- 1. **Touchless Invoice Matching:** Target 85%+ automated 3-way matching rates using SAP Intelligent Invoice Conversion.
- 2. **Automated Bank Reconciliation:** Implement advanced matching rules to achieve 90%+ touchless cash application.
- 3. **RPA for Journal Entries:** Deploy robotic process automation for recurring manual accrual and reclassification entries.

4. Artificial Intelligence in Finance

AI in Finance Implementation Pillar 8

- 1. **Predictive Revenue Modeling:** Integrate time-series machine learning models on BTP to forecast billing fluctuations.
- 2. **Anomaly Detection for Expenses:** Deploy neural networks to flag unusual spending patterns across departments before month-end close.
- 3. **AI-Driven Cash Flow Projections:** Use supervised regression algorithms to predict daily liquidity buffers based on customer payment velocity.
- 4. **Generative AI Financial Commentary:** Implement LLM co-pilots in SAP SAC to automatically generate narrative variance explanations for leadership.